

Magnolia Terrace | Investment & Offering Memorandum

Source-backed analysis. Assumptions remain subject to diligence.

Executive summary

Property: Magnolia Terrace (fictional). Market: Raleigh, NC. Asset: Multifamily. Evaluation date: 2026-08-31.

Certified rent roll supports 44 occupied, 1 pending (not possessed), 3 vacant across 48 suites totaling 40,800 SF. Manager's headline 45/48 counts pending as leased; we rely on certified possession for occupancy metrics.

Underwriting follows instructions: stabilized gross potential rent from current certified roll monthly schedule × 12, less 5% economic loss, plus \$350 annual other income per suite. Operating expenses per T12 plus 3% management. Reserves \$300 per suite. NOI before reserves capitalized at 5.75%. Sizing on NCF after reserves with the higher of 6.25% note rate and 6.00% floor (6.25% used).

Resulting metrics: UW EGI \$942,480; UW NOI (before reserves) \$641,374; UW NCF (after reserves) \$626,974; Capitalization value \$11.154M. Loan constraints: LTV 65% \$7.250M; DSCR 1.25 → \$6.789M; Debt yield 9% → \$6.966M. Maximum loan \$6.789M. Estimated net cash-out after 1% fee + \$45k costs and \$4.20M payoff: \$2.476M.

Metric	Value
Total units	48
Occupied / Pending / Vacant	44 / 1 / 3
Total area (SF)	40,800
Area occupancy	91.23%
UW EGI	\$942,480
UW NOI (bef. reserves)	\$641,374
UW NCF (aft. reserves)	\$626,974
Cap rate	5.7500%
Capitalization value	\$11,154,323
Sizing rate (max(Note, Floor))	6.2500%
LTV limit	\$7,250,310
DSCR limit	\$6,788,545
Debt yield limit	\$6,966,373

Metric	Value
Maximum loan	\$6,788,545
Net cash-out	\$2,475,660

Property, unit mix and occupancy

Manager mapping: Type A = Studio, Type B = 1BR, Type C = 2BR (manager-cover.pdf p.1). The certified roll (as of 2026-08-31) lists 16 of each type; areas: Studio 700 SF, 1BR 820 SF, 2BR 1,030 SF. Total area 40,800 SF.

Possession status counts on certified roll: Studios 15 active, 1 vacant; 1BR 15 active, 1 vacant; 2BR 14 active, 1 pending, 1 vacant. Therefore 44 occupied, 1 pending, 3 vacant. Unit occupancy 91.67%; area occupancy 91.23% (pending excluded from occupied).

Type	Units	Occupied	Pending	Vacant	Unit SF
Studio (A)	16	15	0	1	700
1BR (B)	16	15	0	1	820
2BR (C)	16	14	1	1	1,030
Total	48	44	1	3	—

Rent roll and lease analysis

All active leases on the certified roll carry expirations 2029-08-31. Near-term rollover: none within 12 months as of 2026-08-31.

Suite 001 lease is executed at \$1,500/mo and 700 SF; a signed amendment effective 2026-08-01 increases monthly rent by \$350. The underwriting instruction explicitly uses current certified roll monthly schedule ×12 before Suite 001 amendment for stabilized GPR; the amendment affects only the in-place rent metric, not the stabilized GPR assumption.

Selected fact	Evidence
Suite 001 monthly base rent	lease-001.pdf p.1 (\$1,500/mo)
Amendment +\$350/mo (signed)	lease-correspondence.pdf p.1
Pending means not in possession	rent-roll-certified.xlsx G49 note
Roll as-of date	rent-roll-certified.xlsx B2 (2026-08-31)

Historical vs underwritten financials

Historical trailing-12 (cash basis): collections \$876,960; taxes \$102,312; insurance \$34,104; other recurring opex \$136,416; reported NOI \$604,128 (operating-statement.pdf p.1). Statement notes roof replacement is capital, with no recurring repair component included.

Underwritten (stabilized per instructions): annual scheduled rent from certified roll $\times 12 = \$974,400$; 5% economic loss = \$48,720; other income $\$350 \times 48 = \$16,800$; EGI \$942,480. Expenses: taxes \$102,312; insurance \$34,104; other opex \$136,416; management at 3% of EGI \$28,274; total opex before reserves \$301,106; UW NOI before reserves \$641,374. Reserves $\$300 \times 48 = \$14,400$; UW NCF after reserves \$626,974.

Line	Historical T12	Underwritten
Collections / EGI	\$876,960	\$942,480
Taxes	(\$102,312)	(\$102,312)
Insurance	(\$34,104)	(\$34,104)
Other recurring opex	(\$136,416)	(\$136,416)
Management	n/a	(\$28,274)
NOI (before reserves)	\$604,128	\$641,374
Reserves	n/a	(\$14,400)
NCF (after reserves)	n/a	\$626,974

Debt sizing and sources & uses

Debt constraints per instructions: LTV 65%; DSCR 1.25; debt yield 9%; 30-year amortization. Note 6.25%, floor 6.00% → sizing at 6.25%. We size on NCF after reserves. Results: LTV limit \$7.250M; DSCR limit \$6.789M; debt yield limit \$6.967M. Maximum loan is the minimum of the three: \$6.789M. Origination fee 1% = \$67,885. Closing costs \$45,000. Existing payoff \$4,200,000. Net cash-out estimate \$2,475,660.

Item	Amount
Maximum loan	\$6,788,545
Origination fee (1%)	(\$67,885)
Closing costs	(\$45,000)
Existing payoff	(\$4,200,000)
Estimated net cash-out	\$2,475,660

Risks, caveats and open diligence

Pending counted as leased in manager headline; physical occupancy excludes pending for analysis. Near-term rollover absent: all expirations 2029-08-31. Insurance: policy limit \$2,000,000 GL aggregate on 2026-07-01 to 2027-06-30 declaration; separate from expense.

Capital in opex: statement explicitly says roof replacement was capital (not included), reducing risk of capital leakage in opex based on provided information.

Unsigned rent change: none—amendment is signed; no free rent per Suite 001 lease excerpt. Sizing floor binding: note 6.25% > floor 6.00% → floor not binding. Refinancing shortfall risk absent at sized proceeds relative to payoff; equity is released as shown.

Third-party diligence (legal, environmental, property condition, title) pending but not indicating defects; treat as unresolved pending standard diligence completion.

Risk	Assessment	Evidence
Pending counted in occupancy	Present	manager-cover.pdf p.1; rent-roll-certified.xlsx G49
Near-term rollover	Absent	rent-roll-certified.xlsx F5:F52 (all 2029-08-31)
Missing insurance	Absent	insurance.pdf p.1
Capital in opex	Absent	operating-statement.pdf p.1 note
Unsigned rent change	Absent	lease-correspondence.pdf p.1
Temporary free rent	Absent	lease-001.pdf p.1
Sizing floor binding	Absent	underwriting-instructions.pdf p.1
Refinance shortfall	Absent	UW workbook outputs
Pending third-party diligence	Unresolved	diligence-status.pdf p.1

Source notes

Certified rent roll (as of 2026-08-31) controls for occupancy and rent schedule. A stale June 30, 2026 roll is provided for comparison and shows lower scheduled rents consistent with later increases; do not underwrite from the stale roll.

Historical operating statement is T12 through 2026-08-31; collections are not the same as annualized roll income. Taxes, insurance and other recurring opex from T12 are used directly per instructions plus management at 3% of UW EGI.

Insurance declaration provides policy limit only; it does not opine on adequacy of coverage.

Manager mapping: Type A/B/C = Studio/1BR/2BR; preserve approved copy: "Source-backed analysis. Assumptions remain subject to diligence."

Document	Page/Cell	Key data
rent-roll-certified.xlsx	B2; rows 5–52	As-of date; unit types, areas, rents, status, expirations
lease-001.pdf	p.1	\$1,500/mo; 700 SF; 2029-08-31; no free rent
lease-correspondence.pdf	p.1	Signed +\$350/mo effective 2026-08-01
operating-statement.pdf	p.1	T12 financials and capital note
insurance.pdf	p.1	\$2,000,000 GL aggregate; 2026-07-01 to 2027-06-30
manager-cover.pdf	p.1	Manager headline and A/B/C mapping
diligence-status.pdf	p.1	Pending diligence scope